WEEK 9 | VIDEO 1

What Prop Firms & Funded Accounts Actually Are

The 90-Day Funded Trader Blueprint

What You'll Learn

1. What prop firms are and how they operate
2. The universal funded challenge structure
3. Why profitable traders still fail evaluations
4. The psychological shift from retail to professional
5. How to operate inside strict risk boundaries

Funded accounts are about proving one thing: can you operate inside strict risk boundaries without breaking them?

THE CORE TRUTH

The Funded Account Mindset

Most traders approach funded accounts the wrong way. They think it's about making money. It isn't.

Funded accounts are about proving one thing: Can you operate inside strict risk boundaries without breaking them?

That's what prop firms are testing. Not your predictions. Not your confidence. Not your excitement.

Your discipline.

This week marks a transition. You are no longer thinking like a retail trader trying to flip an account. You are learning to operate inside a professional capital structure.

SECTION 1

■ What a Prop Firm Actually Is

A prop firm — proprietary trading firm — allocates capital to traders. You don't trade your money. You trade theirs.

If you generate profit, you split it. If you violate risk rules, access is removed.

THE RELATIONSHIP

They provide capital. | You provide controlled execution.

It is not a mentorship. It is not an investment fund. It is a structured capital agreement.

SECTION 2

■ Why Prop Firms Exist

Prop firms are businesses. Their model is simple:

- Traders pay an evaluation fee
- Most traders fail due to poor risk control
- A small percentage pass

- Profits are shared with consistent traders

The evaluation exists to filter behavior. The firm is not asking:

✗ "Are you talented?"	✓ "Can you operate within constraints?"

That is the entire game.

SECTION 3

■ The Universal Structure of Funded Challenges

Almost every prop firm — crypto or futures — follows the same framework:

Component	Description
Starting Balance	The capital you're allocated to trade with
Profit Target	The gain required to pass the evaluation
Max Overall Drawdown	Total loss limit from starting balance or peak
Daily Loss Limit	Maximum you can lose in a single day

You pass by reaching the target without violating risk limits. You fail the moment a risk limit is breached. There is no negotiation.

> ■ **CRITICAL**
>
> Funded trading is binary. This is not retail trading where you can reload the account and try again. Once rules are broken, access is gone.

SECTION 4

■ The Real Test (Most Traders Miss This)

Most traders believe: "If I have a profitable strategy, I'll pass." Not necessarily.

You can have a positive edge and still fail repeatedly. Why? Because **prop firms test risk discipline before profitability.**

- ✗ If you oversize positions
- ✗ If you revenge trade after a loss
- ✗ If you chase the profit target aggressively
- ✗ If you ignore daily loss limits

You fail — even with a winning strategy.

The evaluation is not testing how much you can make. It's testing whether you can survive.

SECTION 5

Retail Mindset vs Professional Mindset

RETAIL THINKING	PROFESSIONAL THINKING
"How fast can I hit target?"	*"What is my maximum allowable loss today?"*
"Let me size up to speed this up."	*"What is my risk per trade relative to drawdow*
"I'll recover that loss quickly."	*"Am I operating inside limits?"*

Retail traders chase profits. Professional traders defend capital.

In a funded account, defense comes first. Offense is earned.

SECTION 6

The Psychological Shift Required

Here is the shift you must internalize:

THE SHIFT

You are not trying to make money.

You are trying to avoid disqualification.

If you avoid disqualification long enough, and your strategy has positive expectancy, the math plays out.

The majority of failures do not happen because of bad setups. They happen because of **emotional decisions near risk limits.**

Funded trading exposes impatience.

SECTION 7

What This Week Represents

Week 9 is not about hype. It is about structure. This week you will learn:

- How to read rule sheets correctly
- How to structure risk properly
- How to design your trading around drawdown limits
- How to operate like a capital allocator, not a gambler

✗ Treat this like a lottery ticket	You will fail.
✓ Treat this like a system	Your probability of passing increases dramatically.

The Operating Standard

From this point forward, we are operating differently.

✗ Not emotionally.

✗ Not impulsively.

✗ Not aggressively.

✓ **Structured.**

✓ **Measured.**

✓ **Controlled.**

NEXT UP

- ◼ Profit targets and how they shape your approach
- ◼ Static vs trailing drawdown — and why it matters
- ◼ Daily equity limits and how to interpret any rule set

Once you fully understand the rules, you stop guessing.
And once you stop guessing, you start operating like a funded trader.